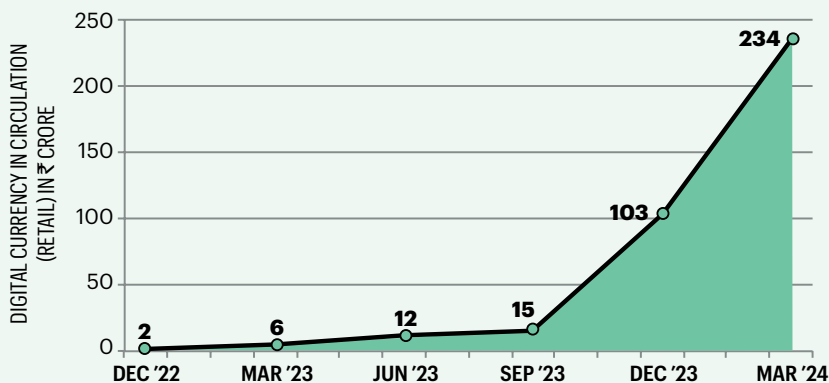


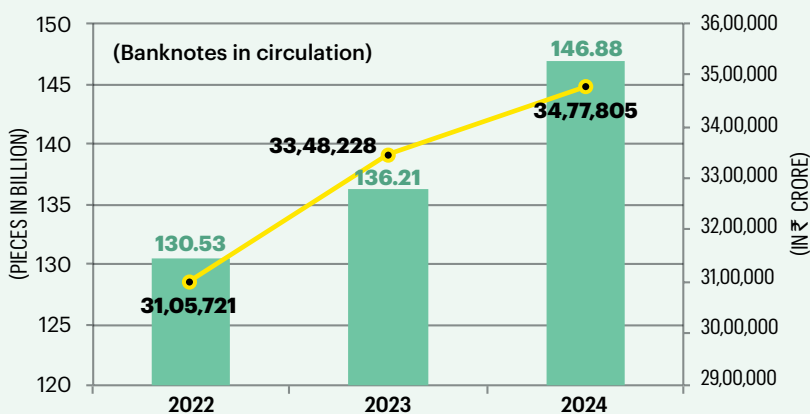
CURRENCY WATCH

● Though the circulation of the retail digital rupee has increased during the year, it remains very low compared to physical currency



DASH OF CASH

● The value and volume of banknotes in circulation increased by 3.9% and 7.8%, respectively, during 2023-24



● VOLUME (LHS) — VALUE (RHS)

NOTE MARCH-END FIGURE FOR RESPECTIVE YEARS **SOURCE** RBI



“There was only limited interest in using e₹ despite some initial encouragement in the first year for using digital currencies for G-Sec and settlement accounts”

SUBHASH CHANDRA GARG
FORMER FINANCE SECRETARY

technological considerations and more participants, besides launching a full-scale public tech platform with more financial institutions/ data service providers and product offerings,” the annual report says.

Cross-border payments represent another growing use case for CBDCs. According to Shilpa Mankar Ahluwalia, Partner and Head of Fintech at law firm Shardul Amarchand Mangaldas & Co., cross-border payments pose significant challenges for SMEs and MSMEs, affecting their costs, timing, and overall complexity. CBDCs have the potential to address these issues by making payments faster and more efficient. However, this requires global central banks, including RBI, to coordinate and integrate their systems. If successful, CBDCs could replace traditional systems like SWIFT and improve both high-value and small-value cross-border transactions. Although the idea of CBDCs for international payments holds promise, there are still practical challenges that need to be addressed. Garg highlights issues such as exchange rates and currency acceptability that pose significant hurdles. “Technical barriers may be surmounted by using common (international) technical standards,” said RBI Governor Das about cross-border digital currency interoperability at the recent event.

Overall, e₹ faces several challenges, including competition from the existing systems and privacy concerns; however, it holds significant potential for improving financial transactions. By addressing these issues and enhancing its functionalities, e₹ could become a vital part of India’s financial landscape by 2047. **BT**

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